

## DEBT &amp; EQUITY

# HUD Is Still Lending. This Deal Proves It.

A \$66M construction loan in Abilene shows agency debt remains the only reliable path for ground-up multifamily in secondary markets.

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A source-grounded Light Tower Insight. The complete note follows.

Abilene, Texas, is not a market that makes headlines. It is a city of 125,000 people in the dry plains west of Fort Worth, known for Dyess Air Force Base and little else. But a \$66 million HUD-insured construction loan for a 312-unit garden-style project there is worth attention, because it reveals something about the structure of capital availability in 2026 that most market participants still underestimate.

The loan is not remarkable because of its size. It is remarkable because it exists at all.

Construction financing for multifamily has not returned to normal. Regional banks, the traditional source for ground-up debt in secondary markets, remain constrained by deposit costs, regulatory pressure, and a commercial real estate exposure they are still working through. Life companies rarely touch construction. The CMBS market for new development is effectively closed. Private credit funds will lend, but at spreads that make most pro formas fail.

That leaves HUD. And HUD, through its 221(d)(4) program, is still writing checks.

Dwight Capital, the New York-based agency lender, originated the loan for The Lariat at Abilene, a 13-acre site that will hold 13 three-story buildings with a mix of one- and two-bedroom units. The borrower is Martin Inderman Development. The terms were not disclosed, but the structure is standard for the program: a fixed rate, a 40-year amortization, and a loan-to-cost ratio that can reach 85 percent or more. No interest rate risk. No balloon. No floating-rate coupon that resets into something the project cannot support.

That structure is the point.

Every other construction lender in America is asking the same question: what happens to this project if rates stay here for three years? HUD does not have to ask. The rate is locked at closing. The maturity is decades away. The insurance removes credit risk from the lender's balance sheet. The only question is whether the project can be built on time and on budget, and whether the market will absorb the units at the underwritten rents.

Those are real risks. But they are operating risks, not capital structure risks. And in a market where capital structure risk has been the dominant source of distress, that distinction matters.

The Abilene deal is not an outlier. HUD 221(d)(4) originations have held steady through the rate cycle, even as bank construction lending has collapsed. The program is not fast. It is not flexible. It requires prevailing wage, Davis-Bacon compliance, and a level of documentation that most private lenders would consider punitive. But it is available. And availability, in 2026, is a form of pricing.

The borrower in Abilene is not paying a premium for certainty. It is paying in time and paperwork. That trade is increasingly rational.

What the deal does not tell us is whether the underlying market can support the rents. Abilene's multifamily fundamentals are not widely tracked. The city has a military base, a modest energy sector, and a growing logistics corridor tied to Interstate 20. But 312 units is a meaningful addition to a market of this size. If the project leases up at the underwritten pace, the HUD structure will look brilliant. If it does not, the borrower still has 40 years to figure it out.

That is the hidden advantage of agency debt. It does not just provide capital. It provides time.

For sponsors considering ground-up development in secondary and tertiary markets, the calculus is shifting. The question is no longer which lender offers the lowest spread. It is which lender offers a structure that survives the first three years of operations without a refinancing event. HUD answers that question more cleanly than any other source of construction debt today.

The market should test whether this pattern holds in smaller markets, and whether the agency pipeline can absorb the volume of demand that bank retreat is creating. The answer will determine where the next cycle of multifamily supply gets built, and who gets to build it.

HUD is not solving the construction financing problem. It is deciding who gets enough time to survive it.

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## SOURCES

— RE Business Online —

<https://rebusinessonline.com/dwight-capital-provides-66m-hud-insured-construction-loan-for-abilene-multifamily-project/>

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